PACIFIC RIDGEWAY

A PLAIN-ENGLISH GUIDE

The Tax-Smart Retirement *Guide*

It's not what you save. It's what you keep.



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WELCOME

It's not what you save. It's what you *get to keep*.

Most people spend decades saving in a 401(k) or IRA and never ask the most important question: how much of this will go to taxes?

If most of your savings have never been taxed, you have a silent partner, the IRS, and it gets to decide its share later. This guide shows how the three tax buckets work, when Roth conversions make sense, and how to plan withdrawals so more stays with you.

One plan. Four goals.

Lower lifetime tax

Pay tax when rates are lowest, not when the IRS forces you.

Control

Choose which bucket to draw from each year.

Protect benefits

Keep more Social Security and avoid Medicare surcharges.

Tax-free legacy

Leave money your kids won't have to pay tax on.

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CHAPTER 1

The three tax buckets

Every dollar you save sits in one of three buckets. Each is taxed differently, and the mix matters more than most people think.

Bucket	Examples	Taxed when?
Taxable	Bank savings, CDs, brokerage accounts	Interest and gains taxed each year
Tax-deferred	Traditional 401(k), 403(b), TSP, IRA, most annuities	Every dollar taxed when you take it out
Tax-free	Roth IRA, Roth 401(k), HSA for medical, properly designed cash value life insurance	Qualified withdrawals are tax-free

Most retirees have *too much* in the tax-deferred bucket and almost nothing in the tax-free one.

Why the mix matters

ALL TAX-DEFERRED

Every withdrawal adds to taxable income. Bigger withdrawals can push you into higher brackets and make more of your Social Security taxable.

A BALANCED MIX

You can take some income from each bucket each year and steer your taxable income to the level you want.

Think of it like having more than one faucet. With only one, you can't control the temperature. With three, you can.

CHAPTER 2

Why taxes may rise for you

Even if tax rates never change, many retirees end up paying more tax later than they expected.

1

Your savings grow

A bigger IRA means bigger required withdrawals later.

2

RMDs force income

The IRS makes you withdraw each year, whether you need it or not.

3

Social Security stacks on top

Up to 85% of it can become taxable.

4

The widow's penalty

When one spouse dies, the survivor files single with similar income and smaller brackets.

5

Medicare surcharges

Higher income can raise your Medicare premiums.

6

Laws change

Today's rates are set by law and Congress can change them.

The widow's penalty, in plain numbers

	Married couple	Surviving spouse
Income	About $110,000	About $95,000
Filing status	Married filing jointly	Single
Top bracket reached	12%	22%
What changed		Lost one Social Security check but kept most of the IRA withdrawals

Hypothetical example using 2026 federal brackets, rounded. State taxes and deductions not included.

CHAPTER 3

Required minimum distributions

RMDs are the IRS's way of collecting the tax you put off. Plan for them before they start.

Born in	RMDs start at
1951–1959	73
1960 or later	75

Each year, your RMD is your prior year-end balance divided by an IRS life expectancy factor. The percentage rises as you age, starting near **4%** and climbing every year.

Example: a $900,000 IRA at 73

A first RMD of about **$34,000**. If the IRA keeps growing at 6%, RMDs can reach **$50,000 or more** a year in your 80s, added on top of Social Security and any pension, taxed as ordinary income.

Hypothetical example. Actual RMDs depend on your balance, returns and the IRS table in effect.

MISSING AN RMD

The penalty is 25% of the amount you should have taken (10% if fixed quickly).

ROTH ACCOUNTS

Roth IRAs have no RMDs for the original owner, and Roth 401(k)s no longer do either.

Giving to charity?

From age **70½**, a qualified charitable distribution (QCD) sends money straight from your IRA to a charity. It can count toward your RMD and isn't added to your taxable income.

CHAPTER 4

Roth conversions

A Roth conversion moves money from the tax-deferred bucket to the tax-free bucket. You pay the tax now so it can grow and come out tax-free later.

1

Pick an amount

Often just enough to fill your current tax bracket.

2

Move it

From a traditional IRA to a Roth IRA, in the same calendar year.

3

Pay the tax

Ideally from savings outside the IRA, so more stays invested.

When conversions often make sense

- ✓ The "gap years" between retirement and RMDs or Social Security, when income is low
- ✓ When you expect to be in the same or a higher bracket later
- ✓ When you want to leave a tax-free inheritance
- ✓ In a down market, when the same shares cost less tax to convert

When they may not

- – You'd need IRA money to pay the tax
- – You expect a much lower bracket later
- – A conversion would trigger a Medicare surcharge or lose a tax credit

Each conversion has its own **five-year clock** for penalty-free access before 59½, and earnings need the Roth to be at least five years old to come out tax-free. Conversions can't be undone.

CHAPTER 5

Filling the bracket

The smartest conversions use up the cheap space in your current tax bracket, year after year.

2026 bracket	Married filing jointly (taxable income)	Single
10%	Up to about $24,800	Up to about $12,400
12%	Up to about $100,800	Up to about $50,400
22%	Up to about $211,400	Up to about $105,700
24%	Up to about $403,550	Up to about $201,775

Rounded 2026 federal figures for illustration. Brackets are indexed for inflation each year; confirm current numbers with a tax professional.

Example: Dave and Sue, 64, retired

Their taxable income is about **$60,000**. The top of the 12% bracket is about **$100,800**. They convert **$40,000** a year from their IRAs and pay about **$4,800** in federal tax on each conversion, instead of letting those dollars grow into bigger RMDs taxed at 22% later.

Over six years before RMDs, they move about **$240,000** into Roth IRAs that can grow and come out tax-free for them and their kids.

Hypothetical example. Results depend on your income, deductions, state taxes and future tax law.

The goal isn't the lowest tax *this year*. It's the lowest tax over your whole life.

CHAPTER 6

Taxes on Social Security

Up to 85% of your Social Security can be taxable, depending on your other income.

The IRS looks at your **provisional income**: half your Social Security, plus your other taxable income, plus tax-exempt interest.

Provisional income	Married filing jointly	Single
Under the first threshold	Under $32,000: 0% taxable	Under $25,000: 0% taxable
Middle range	$32,000–$44,000: up to 50%	$25,000–$34,000: up to 50%
Above	Over $44,000: up to 85%	Over $34,000: up to 85%

These thresholds are set by law and are not adjusted for inflation.

How the buckets help

COUNTS TOWARD THE TEST

IRA, 401(k) and TSP withdrawals, pensions, interest and capital gains.

DOESN'T COUNT

Qualified Roth withdrawals and properly structured life insurance policy loans.

Retirees who can take part of their income from the tax-free bucket may be able to keep more of their Social Security untaxed.

A newer deduction for 65+

For 2025 through 2028, people 65 and older may claim an extra deduction of up to **$6,000 each**, which phases out at higher incomes. Ask your tax professional whether you qualify.

CHAPTER 7

Medicare and IRMAA

Higher income can raise your Medicare Part B and Part D premiums. It's called IRMAA, and it looks back two years.

Your 2026 Medicare premiums are based on your **2024** tax return. A big Roth conversion, home sale or IRA withdrawal at 63 can raise your premiums at 65.

What happens	Why it matters
Income crosses an IRMAA tier	Premiums jump for everyone on that tier, even by $1 over
The surcharge applies per person	A married couple can pay it twice
It resets every year	One high-income year means one year of higher premiums

Plan around it

- ✓ Size conversions to stay just under the next tier
- ✓ Do big conversions before 63 if possible
- ✓ Spread one-time income over two tax years
- ✓ File Form SSA-44 if your income dropped after a life-changing event like retirement

A tax plan and a Medicare plan are *the same plan*. Map them together.

CHAPTER 8

A smart withdrawal order

There's no single right order. The best plans draw from each bucket on purpose, year by year.

Life stage	Common approach	Why
Retired, before Social Security and RMDs	Live on taxable savings; convert IRA dollars to Roth	Fill low brackets while income is low
After Social Security starts	Mix IRA withdrawals with Roth or taxable money	Manage how much Social Security is taxed
After RMDs start	Take RMDs; use Roth for big expenses	Avoid jumping brackets in a big year
Later in life	Keep Roth and life insurance for heirs	Leave a tax-free legacy

Where guaranteed income fits

An annuity inside an IRA is still taxed as income when you take it, but lifetime income can cover your base bills so you can draw from other buckets when it's tax-smart. A non-qualified annuity grows tax-deferred, and only the gain is taxed when you take it out.

General educational information. Your best order depends on your income, state, health and goals.

CHAPTER 9

Mistakes & checklist

Avoid these and you're ahead of most retirees.

The mistake	Do this instead
Waiting for RMDs to deal with taxes	Plan conversions in the low-income years
Paying conversion tax from the IRA	Use outside savings when you can
Ignoring IRMAA when converting	Check the two-year lookback first
Big one-time withdrawals	Spread income across years
Forgetting the surviving spouse	Plan for single brackets later
Leaving heirs a big traditional IRA	They often must empty it within 10 years and pay the tax

Bring this to your planning call

- ✓ Last two years' tax returns
- ✓ Balances in each bucket
- ✓ Social Security estimates for you and your spouse
- ✓ Pension or annuity income
- ✓ Your target retirement date and spending
- ✓ Who you want to leave money to

PACIFIC RIDGEWAY

Let's build your strategy

The policy is the tool. The strategy is what makes it powerful. Here's how we work with every client:

1
Learn your goals
Lower taxes, income, legacy, or all three.

2
Pick the right tool
Roth, annuity, life insurance, or a blend.

3
Shop the strongest
A+ rated, 100+ year companies only.

4
Build for tax-free income
Designed for growth, not the biggest commission.

5
Show every number
Guaranteed column, costs and honest risks.

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